

Economic stability continues post-election, maintaining Stressed (IPC Phase 2) outcomes

Key Messages

FIC map

- The recent elections and associated protests caused a temporary shortage in supermarkets during the last week of July. However, no significant impact on longer-term acute food insecurity was observed. Despite economic progress, such as a decrease in inflation, exchange rate stability, and the reactivation of key sectors, Stressed (IPC Phase 2) outcomes persist throughout the country. However, a portion of the poorest households in urban and peri-urban areas, especially in the states of Zulia, Anzoátegui, Monagas, and Sucre, continue to face Crisis (IPC Phase 3) outcomes due to the insufficiency of their income in USD and the lack of consistent coverage by social programs.
- According to Síntesis Financiera, public spending reached 60.7 billion VED (1.66 billion USD) in July – less than expected – and, as of August 23, it has decreased to 43.5 billion VED (1.19 billion USD). This reduction is partly explained by the culmination of the electoral process. However, social programs – which have been essential to ensure food security for the population – have continued to receive funds and an upward adjustment in spending is expected at the end of August to keep their distribution stable. This maintenance of public spending favors the food security of the population by providing CLAP boxes and additional income to households through vouchers, improving the purchasing power of households and allowing them to purchase food and other essential goods.
- In addition, annual and monthly inflation in July 2024 stood at 43.6 and 0.7 percent, respectively. This recent macroeconomic stability offers relief to the population by reducing pressure on household budgets and improving access to basic foodstuffs. Although food prices rose slightly by 0.8 percent between June and July, the cost of both monitored diets – diversified and based on cereals and oils – experienced variations. Both decreased by almost two percent in USD terms, compared to June, to approximately 231.85 USD and 105.68 USD, respectively.
- Food availability has also improved due to local production and imports – which increased 22 percent between January and May, reaching 1.32 billion USD according to the USDA. During this period, U.S. agricultural exports to Venezuela grew 38 percent, consolidating the U.S. as the country's main supplier. Within the country, crops such as maize, rice, vegetables, and fruit are developing normally despite variability in weather patterns and rainfall, thanks to irrigation systems throughout rural areas. While regions such as Apure, Amazonas, and Bolívar have experienced heavy rainfall that has favored production, other areas such as Falcón, Lara, Anzoátegui, Monagas, Portuguesa, Cojedes and the border with Colombia have suffered rain deficits. Although the most recent weather forecasts indicate that rainfall will be below average until the end of the year, it is expected that rainfall and soil moisture will be sufficient to ensure the adequate development of rainfed crops for small farmers without irrigation. However, above-average temperatures are expected to increase the risk of crop pests and diseases.

FIC map

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* FEWS NET's classifications are IPC-compatible. IPC-compatible analysis follows key IPC protocols but does not necessarily reflect the consensus of national food security partners. As of IPC 3.0, the IPC no longer assesses the impact of food assistance on classification and thus no longer maps the (!). However, FEWS NET continues to produce food security maps inclusive of the (!) as well as maps compatible with IPC 3.0/3.1, which include the mapping of food security assistance bags. FEWS NET and the IPC use different methods to estimate the total Population in Need of humanitarian food assistance and assess the risk of Famine. Learn more at www.fews.net/about.

Key Message Update

This Key Message Update provides a high-level analysis of current acute food insecurity conditions and any changes to FEWS NET's latest projection of acute food insecurity outcomes in the specified geography. Learn more [here](#).